

## Refi Comparison One-Pager BHG vs SBA 7(a) vs Oak Street (Agency-Focused)

### Goal

Refinance high-cost short-term debt into a cleaner term structure (\$125kâ \$250k target) with manageable payments and better long-term economics.

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### Executive Take

- Best total-cost path: SBA 7(a)
- Best fit for insurance-agency collateral story: Oak Street (agency-focused)
- Fastest funding lane: BHG

### Recommended sequence:

- 1) Run SBA + Oak Street in parallel (primary lanes)
- 2) Keep BHG as speed fallback / negotiating lever
- 3) Choose final offer by all-in cost + prepay flexibility + lien terms

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### Side-by-Side Comparison

#### 1) SBA 7(a) (e.g., Newtek / SmartBiz marketplace)

Best For: Lowest long-term cost and longest amortization

- Typical amount: Broad range, supports \$125kâ \$250k ask
- Typical term: Up to 10 years (working capital/refi)
- Rate profile: Usually lower than non-bank alternatives
- Funding speed: Slower (often weeks, not days)
- Underwriting: Documentation-heavy, stronger compliance burden
- Pros:
  - Lower monthly payment pressure
  - Strong refinance economics over time
  - Most durable long-term structure
- Watch-outs:
  - More paperwork + patience required
  - Approval friction if profile/documentation incomplete

Use when: You can tolerate a slower process to optimize long-term cost.

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#### 2) Oak Street / Agency-Focused Lending

Best For: Insurance agency operators with renewal-driven cash flow story

- Typical amount: Often supports six-figure agency transactions
- Typical term: Medium-to-long term structures (varies by deal)

- Rate profile: Usually between SBA and fast non-bank lanes
- Funding speed: Moderate
- Underwriting: More contextual to agency economics (book quality, renewals)
- Pros:
  - Understands insurance agency model
  - Can better interpret recurring commission streams
  - Often more practical than generic bank underwriting
- Watch-outs:
  - Can still include strong collateral/liens
  - Terms vary significantly by profile

Use when: You want a lender that understands agency revenue mechanics.

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### 3) BHG Financial

Best For: Faster execution when time is critical

- Typical amount: Can support your target band
- Typical term: Usually shorter than SBA options
- Rate profile: Often higher all-in than SBA/agency-specialist lanes
- Funding speed: Faster than SBA
- Underwriting: Typically simpler/faster than SBA path
- Pros:
  - Speed and simpler process
  - Useful as backup/bridge lane
  - Good negotiation benchmark against slower lenders
- Watch-outs:
  - Total payback can be materially higher
  - Prepay/minimum-interest terms must be reviewed carefully
  - Confirm direct-lender status and all fees in writing

Use when: Speed is priority and you can tolerate potentially higher cost.

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### Decision Scorecard (Simple)

Rate each final offer 1-5 and multiply by weight.

- All-in cost (APR-equivalent + fees): 30%
- Monthly payment fit (cash-flow safety): 20%
- Prepayment flexibility: 15%
- Funding speed: 15%
- Collateral/PG/lien burden: 10%
- Documentation friction: 10%

Pick the highest weighted score, not just the fastest close.

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#### Non-Negotiables Before Signing

- 1) Full fee stack in writing (origination, broker, admin, ACH, etc.)
- 2) Prepay terms clearly defined (penalty/minimum interest)
- 3) Exact payment schedule + total payback
- 4) Lien and guaranty terms understood
- 5) No front-fee transfers outside normal closing process

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#### Practical Next Step (This Week)

- 1) Submit package to SBA lane and Oak Street lane immediately.
- 2) Request a formal term sheet from BHG as speed benchmark.
- 3) Compare all 3 using the scorecard above and select by all-in economics + flexibility.